

# Merchant / Restaurant Financial Flow – End-to-End Overview

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**Prepared For:** CFO & Finance Leadership

**Scope:** Merchant / Restaurant Financial Lifecycle (Craven Delivery Platform)

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## 1. Overview

This document provides an end-to-end view of the **financial flow for merchants/restaurants** on the Craven Delivery platform, from onboarding and pricing through order processing, settlement, payouts, adjustments, and reconciliation. It is designed for CFO-level understanding and assumes Moov is the underlying payment processor.

Key objectives:

- Explain how restaurants are **onboarded, verified, and configured** financially.
  - Show, step by step, how **money moves** on a typical order involving a restaurant.
  - Clarify the **commission, fee, and payout calculations** that determine restaurant net proceeds.
  - Describe how **refunds, chargebacks, and disputes** are handled for restaurants.
  - Outline the **reporting and reconciliation** available to Finance.
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## 2. Merchant Onboarding and Financial Configuration

### 2.1 Business Verification and Account Setup

When a new restaurant joins the platform, the following financial setup occurs:

#### 1. Restaurant Profile Creation

- Legal entity details (name, EIN, address) captured.
- Banking details collected for payouts (routing, account number, account type).
- Tax profile configured (e.g., 1099-K recipient if applicable).

#### 2. Compliance and Risk Checks (via Moov)

- **KYB (Know Your Business):** Business identity is verified.
- **Beneficial owners / control persons** collected and run through KYC as needed.
- Bank account ownership is validated (instant bank verification or micro-deposits).
- Results drive approval, additional documentation, or rejection.

#### 3. Moov Merchant Account Creation

- A Moov merchant account is created and linked to the restaurant record.
- Payout channels (ACH, optional RTP / instant push-to-card) are enabled based on risk and configuration.

4. Financial Defaults Applied

- Commission tier (Bronze/Silver/Gold/Platinum/Elite) or custom override assigned.
- Payout schedule defaulted to **daily** with standard ACH.
- Currency and settlement preferences set (USD, T+1 settlement, etc.).

2.2 Commission and Fee Configuration

Commission and fee configuration for each restaurant is defined as follows (aligned with the existing 5-tier system):

| Setting                     | Description                                      | Example Default            |
|-----------------------------|--------------------------------------------------|----------------------------|
| Base Commission Rate        | Percentage of food subtotal retained by platform | 15% (Silver tier)          |
| Tiered Commission Structure | Volume-based commission tiers                    | 8%–18% depending on tier   |
| Service Fee                 | Customer-facing fee on order subtotal            | 10%                        |
| Delivery Fee                | Base + per-mile fee charged to customer          | \$2.99 + \$0.50/mile       |
| Geographic Adjustments      | Market-specific overrides by zone                | Higher in dense urban core |
| Promotional/Override Rates  | Temporary or contract-based commission rates     | e.g., 8% for 90 days       |

These settings determine how much of each order’s value flows to the restaurant versus the platform.

3. Order Lifecycle – Merchant Financial View

3.1 High-Level Flow

At a high level, the merchant-related financial flow for a paid order is:

1. Customer places an order and pays via card or “pay by bank” (ACH) using Moov.
2. Platform collects funds into a Moov-controlled balance.
3. System books platform revenue (commission, service fee, delivery fee).
4. Restaurant’s **gross order amount** is tracked as payable to the restaurant.
5. At payout time, restaurant receives **net of commission and adjustments**.

3.2 Per-Order Amounts (Illustrative)

Assumptions (restaurant-side example):

- Food subtotal: **\$30.00**
- Restaurant tier: **Silver** (15% commission)
- Service fee to customer: **10%** of subtotal = **\$3.00**
- Delivery fee to customer: **\$4.49**

- Customer payment method: Card via Moov (effective 2.7% processing cost modeled on total customer payment)

**Customer Bill:**

- Food: \$30.00
- Service fee: \$3.00
- Delivery fee: \$4.49
- **Total paid by customer: \$37.49**

**Platform Revenue Components:**

- Restaurant commission:  $\$30.00 \times 15\% = \mathbf{\$4.50}$
- Service fee: **\$3.00**
- Delivery fee: **\$4.49**
- **Total platform gross revenue: \$11.99**

**Restaurant Financial Position (Per Order):**

- Gross food sales (restaurant subtotal): **\$30.00**
- Less: Commission (15%): **\$4.50**
- **Restaurant net proceeds before any other adjustments: \$25.50**

The platform retains the service fee and delivery fee; these amounts do not pass through to the restaurant.

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## 4. Settlement and Payout Mechanics

### 4.1 Settlement at the Platform Level (Moov)

Once the customer payment is successfully processed:

#### 1. Funds Settlement to Platform Balance

- Moov settles the processed amount (net of Moov processing fees) into the platform's Moov balance.
- Processing cost (modeled ~2.7% for cards, ~0.5% for ACH) is treated as a platform-level cost, not a per-restaurant line item.

#### 2. Internal Allocation

- Commission, service fee, and delivery fee are booked as platform revenue.
- Restaurant's share is recorded as a payable (liability) to that restaurant.

#### 3. Timing

- Settlement timelines depend on payment rail:
  - Card: typically T+1/T+2 settlement into platform balance.
  - ACH: depends on next-day vs same-day configuration.

### 4.2 Restaurant Payout Calculation

Payouts to restaurants are calculated on a **batch basis** (e.g., daily).

For each restaurant and each batch window:

1. Start with **Sum of eligible order subtotals** (e.g., all completed orders in the period).
2. Subtract **platform commission** (tier, override, and geographic rules applied).
3. Apply **adjustments**:
  - Refund reversals where the restaurant's share is clawed back.
  - Chargeback/dispute outcomes that impact the restaurant share (if applicable under policy).
  - Manual adjustments (promotions, service recoveries, etc.).
4. Resulting amount becomes the **payout amount** sent via Moov to the restaurant's bank account.

#### Payout Formula (Per Period):

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Restaurant Payout (period) =
  Σ(Eligible Order Subtotals)
  - Σ(Commission on those orders)
  - Σ(Restaurant-side adjustments: refunds, chargebacks, manual debits)
  + Σ(Restaurant-side credits: promos, incentives, manual credits)
    
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### 4.3 Payout Frequency and Methods

- **Frequency:** Default daily automated payouts.
- **Method:**
  - Standard ACH (next-day or same-day, depending on configuration).
  - Optional instant payout methods (RTP or push to card) for special programs.
- **Minimum Thresholds:**
  - Default: No minimum payout threshold (e.g., payout even for small balances).
  - Can be configured per restaurant, if desired, to reduce micro-payouts.

### 4.4 Example Payout Batch (Daily)

Assume Restaurant A has the following on a given day:

- 40 completed orders.
- Total food subtotal: **\$1,200.00**
- Commission rate: **15%** → Commission: **\$180.00**
- No restaurant-side refunds or chargebacks during the day.

#### Daily Payout Calculation:

- Gross restaurant sales: \$1,200.00
- Less platform commission: \$180.00
- No other adjustments
- **Payout to restaurant: \$1,020.00** via Moov ACH.

Platform retains:

- Commission revenue: \$180.00

- Service fees and delivery fees for those orders (recorded separately, not part of restaurant payout).
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## 5. Refunds, Chargebacks, and Adjustments

### 5.1 Customer Refunds

When a customer refund is processed:

#### 1. Refund Initiation

- Full or partial refund initiated through the platform (e.g., due to order issues, cancellations, or service recovery).

#### 2. Financial Impact

- The customer's payment is refunded via Moov.
- The platform reverses its own revenue components (commission, service fee, delivery fee) in line with policy:
  - Typically, commission on refunded items is **not kept**; it is reversed.
  - Service and delivery fees may be fully or partially refunded depending on the scenario.

#### 3. Restaurant Share Adjustment

- If the restaurant had already received payout for the refunded order, the restaurant account is debited for the refunded food portion on the **next payout run** (netted against that batch).
- If payout has not yet occurred, the restaurant's payable is reduced before payout.

### 5.2 Chargebacks and Payment Disputes

Chargebacks occur when the cardholder disputes a transaction with their bank.

#### 1. Dispute Creation

- Card issuer opens a dispute; Moov notifies the platform via webhook.

#### 2. Temporary Reversal

- Disputed amount is debited from the platform's balance.
- The disputed portion of the restaurant's revenue is flagged.

#### 3. Restaurant Impact

- If the original order was already included in a restaurant payout:
  - The restaurant's future payouts are reduced by the disputed amount (according to policy).
- If the dispute is lost:
  - The restaurant permanently loses its share on that order, consistent with terms.
- If the dispute is won:
  - Funds are returned and the restaurant's share is restored in a subsequent payout.

#### 4. Fees

- Moov’s dispute/chargeback fees (if any at the platform level) are treated as platform operating expenses and are not itemized in the restaurant’s payout report, unless the business chooses to pass through a portion as a “chargeback fee” to the restaurant.

5.3 Manual Adjustments

Finance or operations can apply manual adjustments to restaurant balances, such as:

- Credits for goodwill or promotions funded by the platform.
- Debits for non-payment, fraud, or contract-related clawbacks.

All manual adjustments are:

- Logged with reason, amount, and user who created the adjustment.
- Included in payout detail reports so restaurants can reconcile net payouts against gross sales.

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6. Reporting for Merchants and CFO

6.1 Restaurant-Facing Reports

Each restaurant can access a financial view showing:

- Daily, weekly, and monthly **gross sales** (food subtotal).
- Platform **commission withheld**.
- Net payout amounts and payout dates.
- Detail per order: order ID, date, subtotal, commission amount, net to restaurant.
- Adjustments: refunds, chargebacks, manual credits/debits.

Typical restaurant-side report columns:

| Date       | Order ID | Subtotal | Commission | Adjustments | Net to Restaurant | Payout Batch ID | Payout Date |
|------------|----------|----------|------------|-------------|-------------------|-----------------|-------------|
| 2025-12-01 | 12345    | \$30.00  | \$4.50     | \$0.00      | \$25.50           | PB-2025-12-02   | 2025-12-02  |

6.2 CFO / Finance Reporting

From the CFO perspective, the system provides:

- **Aggregate restaurant performance:**
  - Total GMV by restaurant, tier, geography.
  - Commission revenue by restaurant, tier, and period.
- **Liability tracking:**
  - Outstanding payables to restaurants by payout date.
  - Aging of unpaid restaurant balances (if any).
- **Payout monitoring:**
  - Total payouts per day/week/month.
  - Payout success/failure rates and exception handling.
- **Exception and risk monitoring:**

- Refund and chargeback rates by restaurant.
- Top restaurants by chargeback ratio or adjustment volume.

These metrics feed directly into:

- Monthly close process (revenue, COGS where applicable, liabilities).
  - Cash flow forecasts (expected restaurant payout cash outflows).
  - Profitability analysis by restaurant segment or geography.
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## 7. Reconciliation and Controls

### 7.1 Reconciliation Layers

Craven's reconciliation for merchant/restaurant flows operates at three layers:

#### 1. **Moov vs. Platform Records**

- Reconcile Moov transactions and payouts against internal ledgers:
  - Processed payments per day.
  - Settlements to platform balance.
  - Payouts to restaurant bank accounts.

#### 2. **Platform vs. Restaurant Payouts**

- Ensure that for each payout batch:
  - Sum of net restaurant payouts equals the debits from platform balance.
  - Each restaurant's payout detail ties to orders, commissions, and adjustments.

#### 3. **Reporting vs. General Ledger**

- Map internal tables (orders, payouts, adjustments) to GL accounts:
  - Restaurant payable accounts.
  - Commission revenue.
  - Processing fee expense.
  - Cash and settlement accounts.

### 7.2 Key Controls

- **Segregation of duties:**
    - Different roles for configuring commission rates, initiating payouts, and approving adjustments.
  - **Dual approval on large adjustments:**
    - High-value manual debits/credits to restaurant balances require multi-level approval.
  - **Audit trail:**
    - Every commission change, payout run, and manual adjustment is logged with before/after values and user IDs.
  - **Regular access review:**
    - Quarterly review of who can adjust restaurant financials or trigger payouts.
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## 8. Summary for CFO

From the merchant/restaurant perspective, the Craven Delivery platform provides:

- A clear and predictable **economic model** (tiered commissions, fixed service and delivery fee structure).
- Automated **calculation and payout of restaurant earnings**, with transparent line-item detail.
- Robust **handling of refunds, disputes, and adjustments**, with impacts clearly visible to both restaurants and Finance.
- Strong **reconciliation and control framework**, aligning Moov transactions, internal ledgers, and GL accounts.

This design ensures that the CFO can:

- Reliably forecast platform commission revenue and restaurant payout obligations.
- Understand the impact of commission changes or new pricing strategies on restaurant economics.
- Have confidence that merchant/restaurant financial flows are controlled, auditable, and scalable as the business grows.

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